

Export Finance as Industrial Policy

A German Lens

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Introduction

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- Contractual frictions with distant, foreign counterparties
- Long lags between shipment, delivery, and payment

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Export Credit Agencies (ECAs): government-backed banks that supply **trade financing** when private lenders are **unable or unwilling**

Two primary instruments

- **Loans & guarantees**: direct lending or loan guarantees
- **Insurance**: protection against foreign default

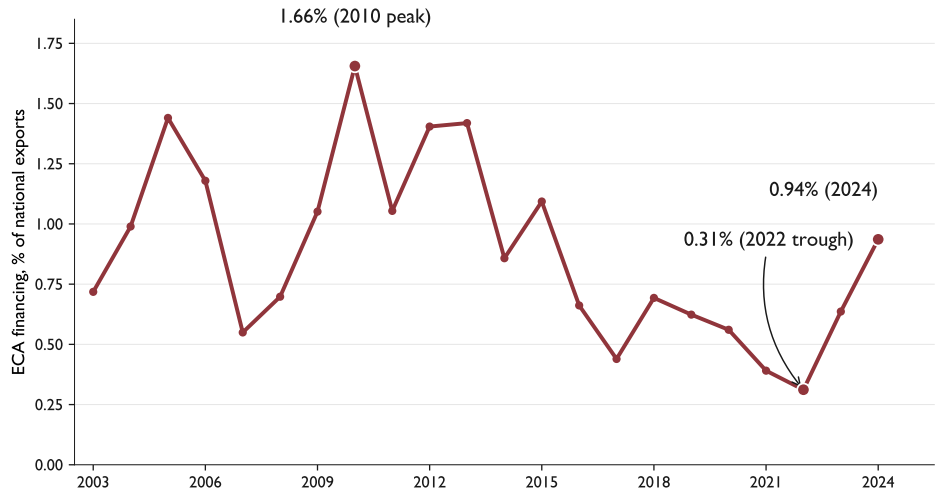
ECAs are the most common tool of modern industrial policy

- Ubiquitous across all economies (Matray, Muller, Shen, and Xu, 2026)
 - Operate in 90 countries [Distribution]
 - Represent a \$3.3 trillion market that finances 14% of global trade
 - Account for 80% of external debt and 50% of imports of recipient emerging economies

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 - Represent a \$3.3 trillion market that finances 14% of global trade
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- Two justifications:
 1. ECAs correct a real market failure at little to no cost for the taxpayers [Motives]
(Matray, Muller, Xu, and Kabir, 2026)
 2. Export finance has become a tool of geopolitical competition, led by state-backed rivals
(Matray, Muller, Shen, and Xu, 2026)

Germany underfinances its exports just as export finance turns strategic



Germany is scaling down a powerful tool

- Germany with Hermes has an institution similar to the US: quality of governance, financial instruments, low risk exposure
 - Default rate: 0.4% vs. 0.3%
 - Annual profits $\approx$ \$500m vs \$450m

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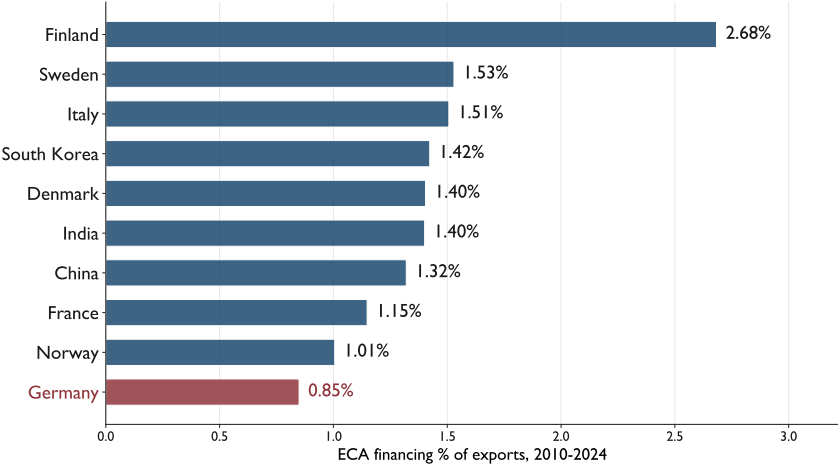
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- 2015-2019: The US shut down its ECA [identification]
(Matray, Muller, Xu, Kabir, 2026)
 - \$1 less ECA financing meant \$4.50 less in exports
 - Firms' total revenue, capital and employment decline by 12%
 - More productive firms contracted more $\Rightarrow$ lowered aggregate productivity

Germany is losing ground when geostrategic motives are high

- Germany is **trailing most other competitors** [peer trajectory]
- China is becoming **more aggressive**
- German economy is **more exposed than ever** to China

Over 2010-2024, Germany is trailing

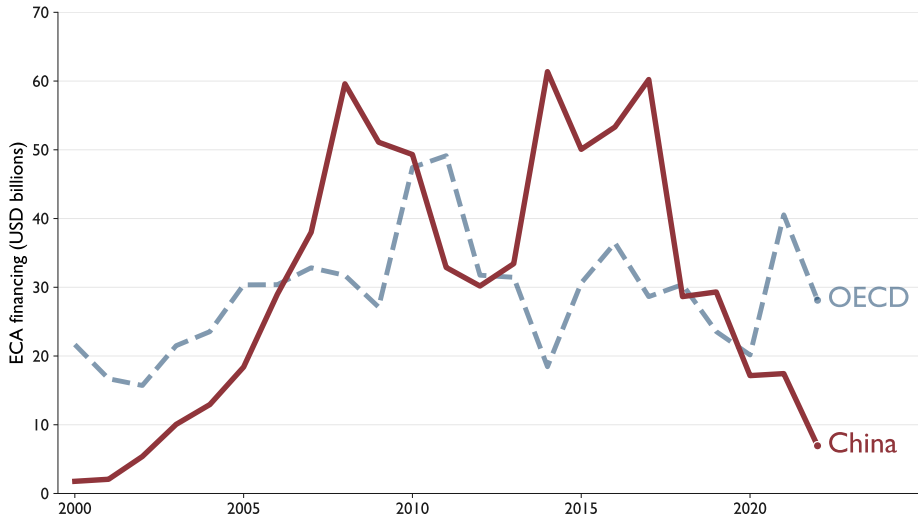
Geopolitics: Germany is trailing



[2024 snapshot]

China rose from nothing in 2000 to rival the entire OECD

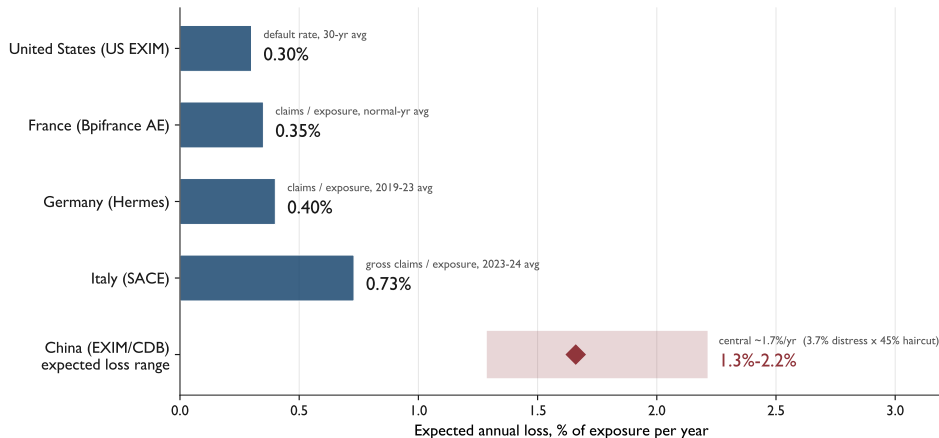
Geopolitics: China is more aggressive



While being more aggressive in its strategy

Geopolitics: China is more aggressive

On a comparable annual basis, China's ECA losses dwarf the US, French, German and Italian agencies



[China estimate]

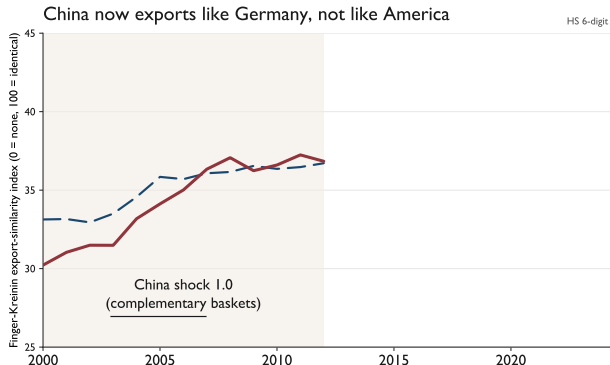
Germany was spared the first China shock; it will not be spared the second

Geopolitics: Germany is more exposed

China shock 1.0 (2000s)

Complementary baskets

- Hit toys, textiles, electronics, where Germany barely competed
- US: **-1 million** manufacturing jobs;
Germany **+493,000** net jobs (ADH 2013; DFS 2014)



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China shock 2.0

Overlapping baskets

- China's export basket is now closest to **Germany** led by **autos and machinery**
- China overtook Germany (2022) then Japan (2023) as the world's #1 car exporter



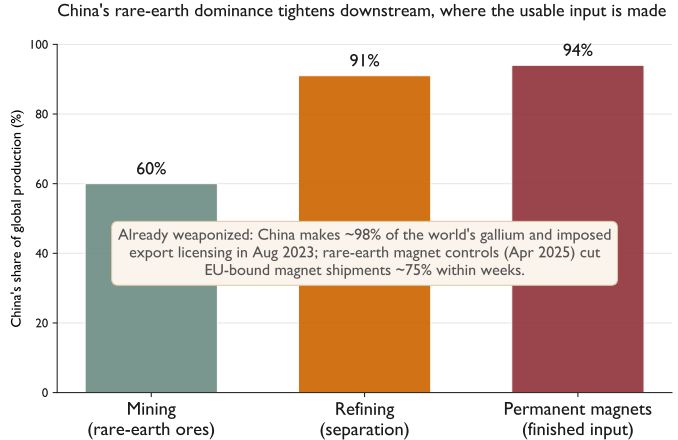
Germany is more dependent than ever on a more aggressive China

Geopolitics: Germany is more exposed

China refines **91%** of the world's rare earths and makes **94%** of the magnets that go into every EV and wind turbine (IEA 2025)

China is Germany's **#1 supplier** (13% of goods imports) and the dominant source for ~200 critical product groups (Bundesbank 2024)

China has started to **weaponize**: gallium and germanium export controls (Aug 2023); rare-earth magnet controls (Apr 2025) cut EU-bound shipments **~75%** within weeks (ECB, June 2025)



Scale Hermes toward peer levels, and target markets with high frictions

Proposal

- Raise coverage toward 1.3 to 1.5% of exports (its own 2010-2013 level)
- Target exports where frictions are high to keep allocation sound
- Treat ECA capacity as strategic in a state-backed world

Anticipated objections

- Subsidy race? The OECD Arrangement caps terms for all signatories
- Picking winners? Not needed to make it efficient
- Fiscal cost? It runs a surplus: Hermes returned ~EUR 0.5bn/year to the federal budget [details]

Key takeaway

Germany finances a smaller share of its exports through Hermes than almost all of its peers, just as export finance becomes an instrument of geopolitical competition; scaling the tool is justified because it **corrects a real market failure** and **pays for itself**

Thank you

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Appendix

Why can ECAs be an efficient tool of industrial policy?

- Scale economies:
 - Larger firms raise aggregate productivity
 - Helping exporters may beat domestic subsidies?
 - Financing frictions: productive firms stay too small because banks are unable or unwilling to finance all profitable investments
 - Geopolitics: distorted competition and preservation of geostrategic resources/capabilities
- How strong is the case for each motive?

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- **Geopolitics**: distorted competition and preservation of geostrategic resources/capabilities
 - Depends on **how aggressive other countries are**

Productive firms stay too small because they cannot get financing

- Credit frictions cap **productive firms** below their efficient size
 - Trade: bigger frictions = bigger problems
 - ⇒ Government can back the **activity without “picking winners”**
- But does it work in practice?

How the EXIM shutdown identifies the effect

Industrial Policy and Capital Misallocation in Exporting

Matray, Muller, Xu, Kabir (2026)

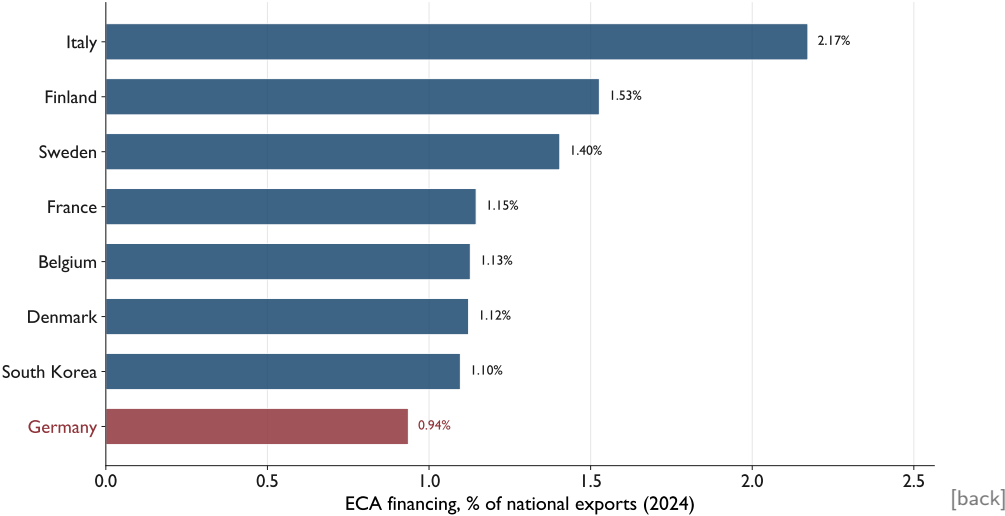
- Congress let EXIM lapse 2015-2019, freezing new medium-and-long-term support
- Compare products and firms more exposed to EXIM against less exposed ones, before and after
- **Productive, credit-constrained firms** drove the response, raising misallocation when support stopped
- Default rate over 30 years near **0.3%**, so the program was self-financing

[\[back\]](#)

China's export-credit book carries far more distress

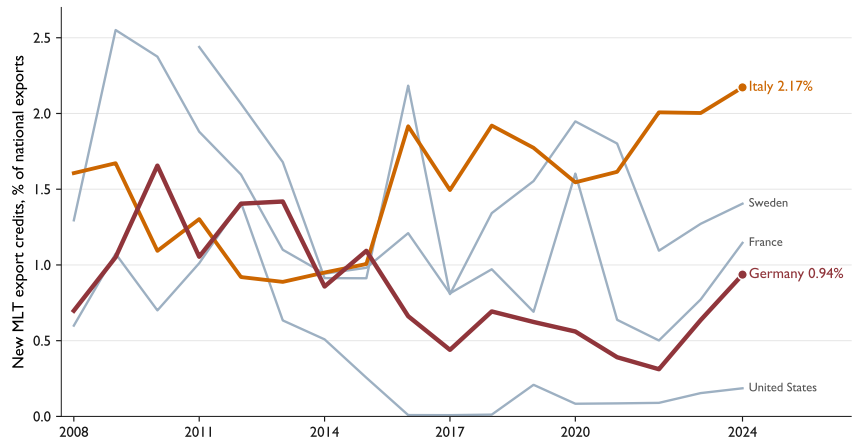
- Broad ECA book: 31.7% of value to borrowers now in distress (\$178.7bn of \$563.9bn)
- Narrow export and buyer credits: 42.6% (\$134.6bn of \$315.7bn)
- Distress onset concentrated 2019-2022
- Cumulative stock, 2000-2023; source AidData CLG-Global 1.0

Germany vs peers, single-year 2024 snapshot



Germany pulled back while Italy scaled up its export finance

Italy now finances more than twice Germany's share; most other peers also retreated



Hermes returns a surplus to the federal budget nearly every year

